Galaxy Digital (GLXY) | Earnings Brief

3Q26 (FY26) | 28 October 2026 | Post-call version | Josh, with Trevor on Q&A

Post-call version. Call held 27 October 2026; transcript read 28 October (Motley Fool, LLM-assisted). Developer / landlord mode. 10-Q not yet filed. One transcript held, so Q&A history is a single quarter.

1 Executive snapshot

Consensus thesis: Investors own Galaxy as a crypto franchise with a contracted Helios annuity underneath; at about $17 the price roughly equals contracted Helios value, so the debate is whether CoreWeave's credit stress makes that annuity worth less than the sell side assumes.

Thesis status: Intact

Versus expectations: Quarter: beat. Adjusted EPS $0.83 vs a -$0.13 to +$0.04 range, but $395mn of the $455mn adjusted EBITDA came from crypto and private marks. Data Centers in line: leasing revenue $79.1mn vs the ~$80mn guide. Outlook: in line on the ramp (exit-2027 leasing run-rate $800-850mn, per call) but below hopes on Helios II timing. Shares +9.6% on 27 October to $17.18; $17.38 at 10:02 ET today.

Biggest changes

- Helios II reset: Galaxy walked away from a summer deal because the wrap offered did not give investment-grade protection to debt and equity. The search now targets IG hyperscalers or credit-enhanced tenants, with no fixed date (2028 data halls, power around mid-2028).
- CoreWeave exposure clarified: the Helios I leases sit with CoreWeave's parent, behind site-level GPU lenders; the load is allocated to an IG hyperscaler for now. Cash rent and the -$152mn working-capital swing went undiscussed.
- Ramp and funding confirmed: exit-2027 run-rate $800-850mn; Phase II $675mn is a GAAP clarification, not new economics; Phase III equity-funded with debt in 1H27; December exchangeable repaid from resources.
- Power: ERCOT Batch Zero conditionally classified ~4.2 GW across five projects (>1.6 GW at Helios I-II); 2.6 GW sits in study load; clarity around April 2027.

Investor takeaway: No change to the consensus view in direction: the call confirmed the Phase I annuity and the 2027 ramp and showed discipline on Helios II credit, but pushed the Helios II catalyst out and left cash rent from CoreWeave unaddressed, so long-term compounding holds while credit quality still rests on one sub-investment-grade parent.

What to monitor next quarter

1. 10-Q (due within weeks): cash rent received from CoreWeave, the deferred or straight-line rent balance, and what drove the -$152mn Data Centers working-capital outflow.
2. Texas audit results (December) and Batch Zero allocations (around April 2027): they set Helios II-IV timing and the next tenant conversation.
3. Phase III debt in 1H27 (loan-to-cost, coupon vs 9.875% on Phase II) and repayment of the $445mn exchangeable in December from cash.

2 Pillar scorecard

Pillar	What the quarter and call showed	Verdict
1 Phase I annuity	Leasing revenue $79.1mn; segment adj. EBITDA $68.7mn (86.9% after overhead); segment operating cash flow -$129.1mn; cash rent not discussed on call	Confirmed (revenue); cash unresolved
2 Phase II on time and funded	On schedule, within budget, 'fully funded'; much of remaining spend in 1H27; parent put a net $439mn into the segment in 3Q26	Confirmed, with parent support
3 CoreWeave pays	Leases with CoreWeave parent (behind GPU lenders); load allocated to an IG hyperscaler (per CoreWeave); no disclosure of cash rent, security or amendments	Unresolved
4 Helios II catalyst	Summer deal not signed on terms offered; no LOI; broader IG-only process; no fixed date, 2028 data halls the backstop	Challenged
5 Crypto drives EPS	Treasury & Corporate adj. EBITDA $395mn of $455mn; adj. EPS $0.83	Confirmed

Analyst focus (Trevor): analysts pressed on why the Helios II deal was dropped and when a tenant comes (three questions), funding and lender appetite, and CoreWeave's structure; nobody asked about cash rent or the working-capital outflow.

3 Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Data center leasing revenue ($mn)	79.1	18.9	0	[↑] / [↑]	First full quarter
Data Centers adj. EBITDA ($mn)	68.7	11.5	3.7	[↑] / [↑]	86.9% of leasing revenue
Data Centers notes interest ($mn)	75.4	7.4	0	[↓] / [↓]	Phase II carry
Data Centers operating cash flow ($mn)	-129.1	-2.9	n.a.	[↓] / [?]	Working capital -152.2
Parent contributions, net ($mn)	439.4	142.1	n.a.	[↓] / [?]	Rising
Data Centers capex ($mn)	757	448	n.a.	[↑] / [?]	+69% QoQ
Delivered / contracted IT (MW)	133 / 526	133 / 526	0 / n.a.	[–] / [↑]	Next step 2Q27
Adjusted EPS ($)	0.83	-0.09	1.12	[↑] / [↓]	Swings with marks
Cash, stablecoins and T-bills ($bn)	4.9	2.5	n.a.	[↑] / [?]	Incl. note proceeds
Notes payable, carrying ($mn)	6,748	3,263	1,150	[↓] / [↓]	Phase II notes

4 Guidance

Metric	Guidance	vs. prior	vs. consensus	Analyst read
Phase I leasing revenue	~$80mn a quarter	Delivered $79.1mn	In line	No pushback
Exit-2027 leasing run-rate	$800-850mn annualized	New (call)	n.a.	Needs 72-79% of Phase II billing
Phase II base revenue	$675mn at full turnover	Redefined (was $690mn avg)	n.a.	Bloomberg asked; accepted
Helios II tenant	No date; 2028 halls, mid-2028 power	Later (was near-term talks)	Below hopes	Pressed by 3 analysts

6 Top risks

Risk	Current	Direction	Implication
Tenant credit (CoreWeave)	Parent-level leases behind GPU lenders; cash rent and security undisclosed	Up (clarified)	Drives equity and note value
Helios II leasing	Summer deal dropped; IG-only search; no date	Up	Catalyst moves into 2027
Funding and carry	Segment cash-negative; Phase III equity-first; lenders tighter	Unchanged	Parent liquidity tied to crypto

8 Monitoring checklist

Signals: (1) cash rent and deferred-rent balance in the 10-Q; (2) segment operating cash flow turning positive before Phase II rent; (3) December audit and April 2027 Batch Zero allocations; (4) Phase III debt terms vs 9.875%; (5) a Helios II LOI and the counterparty's rating.

Questions for owners (pre-call questions, with how the call answered them)

Question for owners	Why it matters	Asked on the call?
How much cash rent did CoreWeave pay in 3Q26, and what is the -$152mn working-capital item?	Credit; pillar 1	No. Not asked or pre-empted; 10-Q must answer.
How much more parent equity goes into Phase III before debt, and at what loan-to-cost and coupon?	Credit; pillar 2	Partly. Equity-funded, debt 1H27, lenders tighter; no terms.
Any Helios II LOI, and would you sign another neocloud without an IG wrap?	Equity; pillar 4	Yes. No LOI; summer terms rejected; IG or IG-enhanced only.

Read-across for Kona

Galaxy walked away from a Helios II deal because an IG wrap did not protect its debt and equity, and its CoreWeave leases sit at the parent, behind GPU lenders. Kona should seek direct or wrapped credit at the chip-owning entity, or prepaid rent covering debt service through the build, and price carry into rent (~$198 per kW-month at Helios is a ceiling). Galaxy's 830 MW will not energize before mid-2028, so time-to-power remains Kona's edge.